was 1s. 4d. and this was favourable to India. In the teeth of popular opposition, the Government fixed the value of the rupee by 12½ per cent, the Finance Member, Sir Basil Blackett, automatically put a premium on imports into India. But that was not the only disadvantage which India was subjected to. As a result of the new ratio, the Indian peasant producing raw material for the world market received so much less money than before and his purchasing power in relation to Indian goods was thereby considerably reduced. There is no doubt that the new ratio was responsible to a large extent in accentuating the economic crisis in India. Along with the new ratio, Sir Basil Blackett wanted to have an Indian Reserve Bank as a part of his plan for controlling the currency—but this Bill[1] was fortunately thrown out by the Assembly and the Viceroy did not make it law through 'certification'.

The only event of a somewhat satisfactory nature during the earlier half of 1927 was the Capetown Pact between India and South Africa. The Government of South Africa headed by General Hertzog, an ardent nationalist, wanted to adopt a dual policy of segregation and repatriation with regard to the Indian settlers. A delegation was sent from India, composed of Sir Mohammed Habibullah, the Right Hon. V. S. Sastri and Sir George Paddison to plead the cause of the Indians. As a result of their persuasion, the following agreement was arrived at. The Areas Reservation Bill for segregating Indians was altogether abandoned by the South African Government. Emigration of Indians was, however, to be encouraged, though a higher bonus would be given than before. Indians born in South Africa who wanted to make that country their home, were to be assisted by the Government to attain the 'White' standard of life. Though the Pact was only partially satisfactory, it was better than nothing and the Viceroy, Lord Irwin, fully supported the Indian case in this matter. The Pact provided for an 'Agent' of the Indian Government who would reside in South Africa and Mr. Sastri was sent out from India as the first 'Agent'.

In the international sphere the step taken by England in breaking off relations with Russia in 1927, was to have repercussions

[1] The Bill was first ruled out of order by the Assembly President, Mr. V. J. Patel, whereafter it was introduced again in an altered form. The Congress Party succeeded in throwing out the section relating to the management of the Bank, whereupon the Bill was withdrawn by Sir Basil Blackett.